CORPORATE LAWS & PRACTICES
Suggested Answers
March-April 2022

Answer to the Question # 1 (a)

A pre-incorporation contract is an agreement that is made by a person at the behest of a company or corporation that does not exist at the time of signing such agreement (i.e., before its incorporation). These agreements are entered into as there are preliminary contracts and expenses incurred before an organization takes form. An example of a pre-incorporation contract is a co-founders' agreement or promoters' agreement. The person who is signing the agreement on behalf of the company intends to bind the company to the agreement in future when the company is finally incorporated.

The company itself is not generally liable on such a contract because it does not exist at the time of the purported contract. If a company does not exist, it cannot contract and for this reason the company, after formation, cannot adopt or ratify pre-incorporation contracts. Instead, the individual who purported to enter the contract on behalf of the company is personally liable, unless there is express agreement to the contrary.

Answer to the Question # 1 (b)

The scope and processes for implementing the changes aligning with Section 11Ka of the Companies Act 1994 for adding "PLC." or "Public Limited Company" at the end of the name of the company is given below:

Scope	**Processes**
Company Incorporation Related [Certificate of Incorporation, MOA (Name of the Company), AOA, Forms with RJSC&F etc.]	As per Companies Act 1994, any company may, by special resolution and subject to the approval of the Registrar signified in writing, change its name (u/s 11(6) of the Act.). Hence, in this case for adding "PLC." or "Public Limited Company" at the end of the name of the company, it has to follow the process described under section 11(6). Where a company changes its name, the Registrar shall enter the new name on the register in place of the former name, and shall issue a certificate of incorporation in its new name to meet the circumstances of the case and on the issue of such a certificate, the change of name shall be complete. (u/s 11(7) of the Act.) The change of name shall not change any rights or obligations of the company or render defective any legal proceedings by or against the company; and any legal proceedings that might have been continued or commenced against it by its former name may be continued or commenced against it by its new name. This change would essentially mean company would be able to update the name with the concerned authority during new issuance, renewal or re-issuance of the relevant documents and is not required to make the changes immediately. However, company may also choose to update the name with the concerned authority soon as it changes the name in accordance with section 11(6) and 11(7) for the sake of convenience to avoid any procedural complicacy. It would be able to do so when it receives the updated documents from RJSC signifying the change of its name.
Various Regulatory Licenses /Permission/ Certificate [Trade License, TIN, BIN, IRC, ERC, CM License etc.]	
Land Related Instruments [Deeds, Mutation, Land Development Tax Receipts etc.]	
All sorts of 3rd Party Agreements [Service/ Vendor/Supply/Distributor and General License Agreement)].	
Product Packaging/Labelling/ Advertisement etc.	
Communication (Website/domain name/name plate/stationery/business card/Letter Head etc.)	

Answer to the Question # 1 (c)

Draft resolutions:
The Chairman informed the Board that to finance the new investment project, the company had approached to Fortune Bank Ltd. for a loan facility of Tk. 500 million (Taka Five Hundred Million). The Bank had sanctioned the facility vide its sanction letter dated 31st January 2022, which was placed before the Board. After discussion at length, the Board passed the following resolutions unanimously:

"**RESOLVED THAT** approval be and is hereby accorded to avail of the Credit facility Tk. 500 million (Taka Five Hundred Million) sanctioned by Fortune Bank Ltd. as per the terms and conditions specified by the Bank vide its letter dated 31st January 2022 placed before the Board and initiated by the Chairman for the purpose of identification."

"**RESOLVED FURTHER THAT** Mr. X., Managing Director of the company, be and is hereby authorised to execute the necessary documents in favor of Fortune Bank Ltd., to avail of the aforesaid Credit facility."

"**RESOLVED FURTHER THAT** the Company Secretary be and is hereby authorised to file the necessary Form for registration of charge with the Registrar of Joint Stock Companies and Firms, and also forward a copy of this Resolution to Fortune Bank Ltd."

Answer to the Question # 2 (a) (i)

As per Rule 5 of the Bangladesh Securities and Exchange Commission (Substantial Acquisition of Shares, Takeover and Control) Rules 2018 (the 2018 Substantial Acquisition Rules), it appears that substantial shares (10% or more) can be acquired through "negotiated deal". In such transactions the purchase price or consideration value may be decided through mutual understanding of the buyer and seller.

Answer to the Question # 2 (a) (ii)

As per Rule 5 of the 2018 Substantial Acquisition Rules, a company can also envisages acquisition of substantial shares (10% or more) outside the trading system of the exchange by consideration other than cash. The processes are described below:

1) Such acquisition shall be done through detail agreement between the buyer and seller
2) Relevant seller shall issue irrevocable sale order for the quantity of shares, it wants to sale
3) The stock broker will send a confirmation letter to the Exchange upon freezing the shares mentioned in the sale order of the seller
4) The buyer upon completing necessary formalities, will submit 20% of the consideration value to the Exchange through a bank draft or pay order along with a copy of the agreement.

Answer to the Question # 2 (a) (iii)

Current paid-up capital of Tamarin is Tk. 50 crore. Considering this paid-up capital and unless there is any other exemption issued by the Commission, if Tamarin opts for listing with stock exchange, it has to offload minimum 30% of its shares to the public as per Rule 3(1)(q)(i) Bangladesh Securities and Exchange Commission (Public Issue) Rules, 2015

Answer to the Question # 2 (a) (iv)

Under the Companies Act, an application can be made, to the High Court Division under section 228 of the Companies Act 1994 for the sanctioning of a compromise or arrangement for amalgamation. Accordingly, upon satisfaction, the High Court Division may issue approval for amalgamation. In Bangladesh Lafarge and Holcim merger is an example of such amalgamation.

Answer to the Question # 2 (b) (i)

In September 2020, Bangladesh Securities and Exchange Commission (BSEC) has issued a notification [SEC/CMRRCD/2009/07Admin, dated 1 September 2020] imposing some restrictions on the company traded under 'Z' category in the exchanges. In line with the notification, I would forward a memo the Board. In which I would mention the following:

1. First of all, sponsors and the existing directors of the company cannot execute any buy or sale or transfer or transmission or pledge of share of the company from 01 January 2021 without the prior approval of the commission;

2. The Board shall be reconstituted by 15 February 2021. In the reconstituted Board from the shareholders directors shall be appointed and at the same time the commission shall nominate at least one Independent Director in the Board;

3. The AGM may be held physical and/or virtually ensuring the rights of the members and shareholders as directed by the commission.

Answer to the Question # 2 (b) (ii)

Assuming that we have failed to reconstitute the Board as directed by the commission with in next two years, the commission may impose further restrictions and actions:

1. All the sponsors and existing directors of our company shall not be allowed to represent or to be elected as director in the Board of any listed company or in any Board of the exchange or in any Board of capital market intermediary;
2. A special audit will be conducted by the commission at the cost of the commission. Having obtaining the special audit report, the commission may appoint an observer in the Board of an officer of the commission not below 5th Grade of National Pay scale or an existing Independent Director.
3. The reconstituted Board shall identify the reasons for poor performance of the company and shall submit a report to the shareholders in the next AGM through directors' report.
4. If the reconstituted Board fails to show improvement in operational and financial performance of the company within four years from the date of reconstitution, the exchange shall take appropriate measure to delist the company from the exchange.

Answer to the Question # 2 (c) (i)

It is a silver lining that competent Concert Party has shown their interest to buy the company as the sponsors are interest to go for exit plan. As advised the existing Board, I would write to the Board that the following steps are involved to execute the exit plan as directed by the Bangladesh Securities and Exchange Commission (BSEC):

1. Making agreement between the company (Offeror) and the buyer (Concert Party);
2. Application for Commission's Consent -in-Principal;
3. Setting Cut-off Date for sending letter of offer;
4. Agreement with the stock exchange;
5. Determination of Offer price;
6. Public announcement;
7. Holding of securities holders' meeting;
8. Issuance of letter of offer;
9. Opening of Escrow Bank Account;
10. Settlement of securities;
11. Report to the stock exchange; and
12. Final declaration to the commission.

Answer to the Question # 2 (c) (ii)

For applying to the commission, the following are the prerequisites:

a) obtaining a resolution in this regard from the board or in absence of the board joint declaration from the Managing Director and the Chairman;
b) dissemination of the above resolution as Price Sensitive;
c) preparation of exit plan for buying securities from the shareholders other than the sponsor and
d) get the plan approved by the board or jointly by the Managing Director and the Chairman.

Answer to the Question # 2 (c) (iii)

The price offered by the Concert Party of BDT 11 per share will not be approved by the Commission. The offer price must be equal or more than BDT 13 i.e. NAV per share as per last audited financials. As per the directives, the offer price shall be higher of face value, issue price, last trade price, NAV and VWAP.

Answer to the Question # 2 (c) (iv)

An AGM/EGM/ special meeting shall be held through hybrid system within 45 working days from the cut-off date or record date to approve the exit plan. The exit plan must be approved with 75% majority excluding the holding of the sponsors.

In case of non-holding of AGM for more than two years, the exit plan shall be approved through a written agreement with 51% majority of all shareholders.

Answer to the Question # 2 (c) (v)

The securities holders who have not accepted the offer under the exit plan shall have the right to dispose of their securities held by them at offer price within next one year of final declaration of completion of exit plan.

Answer to the Question # 3 (a)

It has been observed by the Financial Reporting Council (FRC) that some companies receive money from the shareholders with an intension to issue shares against those money. These are kept in the equity as share money deposit until issuing shares against them. While calculating Earnings per Share (EPS), earnings which have been earned also using the share money deposit are divided by the share against paid up capital only. This has overstated EPS to some extent.

To restrict such intentional overstatement of EPS, FRC has advised to consider the shares money deposit as potential share capital thus considering those shares along with the paid-up shares while considering EPS calculation.

Hence, total 7 million shares (5 million+ 2 million under share money deposit) should be considered for calculating EPS as on 31 December 2021. And the EPS would be BDT 10 per share (BDT 70 million/7 million).

FRC has also advised to complete all necessary formalities to issue share against share money deposit within 6 months from the date of receipt of money.

Answer to the Question # 3 (b)

According to the rules of the Provident Fund, the employees who leave the company before completion of two years having entering as member in the fund have to forgo the company's contribution along with the earnings associated with the amount.

The forfeited amount is being kept with the fund and being distributed among live members. Since, the amount has been contributed by the company against the contribution of leavers, the amount should be returned to the company as per FRC. FRC has also identified that if the amount would be returned to the company earnings of the company would gone up and government would get extra tax thereon.

Hence, addressing the issues FRC has issued the following guidelines:

1. Forfeited amount should be return at the yearend if the financial year of both the company and the fund are same. In case of different financial year, the amount shall be returned to the company within 7 days of completion of audit and the audit shall be completed with 120 days from the date of financial year;
2. The amount returned should be shown as 'other income' and income tax should be calculated thereon;
3. Since 2015, forfeited amount distributed among the then existing members, shall be returned from those. After applying reasonable care, if the amount could not be return to the company, company should recognize those as 'operational loss' in the profit and loss account.

Answer to the Question # 4 (i)

As per FID Circular No. 09, 11 September 2002 of Bangladesh Bank, the number of Board members of a FI shall be limited to 9 t0 11 including the CEO. Moreover, as per Corporate Governance Code of Bangladesh Securities and Exchange Commission at least 1/5th no. of directors of the Board shall be Independent Directors including them.

Moreover, as per section 25 (3) of Financial Institutions Act, 1993, no director of a FI shall be the director of another FI or Bank at a time.

Since, total no. of directors of ABC Finance Limited is 13 it has exceeded the maximum limit. Immediately two directors other than the Independent one should resign from the Board. Moreover, the Chairman of the FI should also resign from the Bank to remain Chairman of the FI.

Answer to the Question # 4 (ii)

As per the DFIM Circular No. 07 dated 25 September 2007, as a part of good governance, the financial institutions should hold at least one Board meeting in a quarter. But at the same time the no. of Board meeting should be kept limited [DFIM Circular No. 13, dated 30 November 2015].

As per the said circular, the Board Meeting should be held within the city in which the Corporate Office of the FI is situated, but in case of special cases the meeting can be held outside the city with prior approval of Bangladesh Bank. Also, for holding meeting virtually prior permission of Bangladesh Bank is required. [DFIM Circular No. 05, 18 April 2016]

Since, as advised by the chairman of the Board, the meeting will be held in Cox-Bazar and one of the Independent Directors will attend virtually, for the both issue the FI should take Bangladesh Bank's prior approval.

Answer to the Question # 4 (iii)

To discourage excessive no. of Board meeting, for maximum two Board meeting per month, Board members are entitled to the Honorarium of BDT 8,000 for attending Board meetings. They are also entitled to Travel Allowance (TA) & Dearness Allowance at actual for attending meeting from different places inside the country for maximum two Board meetings in a month. Also, the non-resident Bangladeshi Board member will be entitled to three days hotel accommodation and airfare at actual for maximum four Board meeting in a year. [DFIM Circular No. 13, dated 30 November 2015].

Since, already two Board meetings were held in December, for the upcoming Board meeting scheduled to be held in December 25th, none of the directors including the non-resident Independent Director (as he has already attended and availed his entitlement for four Board meetings in that year) will be entitled to any honorarium for attending the meeting.

At the time of approval of appointment of the CEO, the remuneration of the CEO is also being fixed by the Bangladesh Bank, and except for the performance bonus up to BDT 10 lac he will not be entitled to anything for his role. So, he will not be entitled to any honorarium for attending Board meeting. Although for the other top executives, attending the Board meeting is part of his job role for which they are paid for, but if the Board think appropriate can grant some remuneration to them as per Board's discretions. Moreover, the Board can do it subject to the prior consent from Bangladesh Bank and approval by the shareholders in the AGM.

Answer to the Question # 5

As per section 26(ka) of the Bank companies (Amendment) Act, 2013, the holding of share in terms of Market value of share of the company by the bank shall be limited up to sum of 5% of bank's paid-up capital, share premium, statutory reserve and retained earnings or up to 10% of the paid-up capital of the company, whichever is lower.

Here, 5% of bank's paid-up capital, share premium, statutory reserve and retained earnings was BDT 867.5 million. By this 5% of equity the bank can hold up to 17.3% shares of the financial institution (FI) (i.e. 3% of shares of the company) as on 31 December 2021.

Moreover, as per financial institutions regulations, institutional investment (solely or jointly by the related concern) in any joint venture financial institution shall not be more than 25% of the shares of the financial institution. Since, the banking group is holding in-total 26.5% shares of the FI, the holding should be reduced it to 25% even though permitted by Bank's solo investment limit.

Answer to the Question # 6

The nominee of Mr. Rahman should be entitled to the compensation as per the prevailing labor law of Bangladesh [sec 19]. As he died during his discharging his official responsibility, he should get higher of salary of 45 days or gratuity, if entitled in addition to any other benefits he is entitled to.

Since, the gratuity amount is higher than the compensation amount, his nominees will get gratuity benefits. Additionally, his nominee will also get group insurance coverage of BDT 30 lac.

Answer to the Question # 7 (a) (i)

As per section 233 of the Bangladesh Labour Act 2006, any industrial undertakings, if satisfy any one of the following conditions, shall be obliged to comply with the provisions of Participation of Workers in the Profit of the Companies under Bangladesh Labour Act 2006:

a) the number of workers employed by the company in any shift at any time during a year is one hundred or more
b) the paid-up capital of the company as on the last day of its accounting year is one crore taka or more
c) the value of the fixed assets of the company at cost as on the last day of the accounting year is not less than two crore taka or more.

In the instant case, Glow Bangladesh Ltd. is an industrial undertaking and falls under first two conditions. Hence for Glow Bangladesh Ltd. it will be mandatory to comply with the provisions of Participation of Workers in the Profit of the Companies under Bangladesh Labour Act 2006.

Answer to the Question # 7 (a) (ii) (a)

As per section 234(1)(a) of the Bangladesh Labour Act 2006, every Company to which this Establishment of Participation Fund and welfare fund shall apply, it shall establish a workers' Participation Fund and a workers' Welfare Fund in accordance with this law within one month of the date of which the law becomes applicable to it.

Answer to the Question # 7 (a) (ii) (b)

As per section 235(a)&(b) of the Bangladesh Labour Act 2006, as soon as may be, after the establishment of the participation fund and the welfare fund, there shall be constituted a board of trustees, consisting of the following members:

a) two persons nominated by the collective bargaining agent and if there be no collective bargaining agent in the company, two persons elected by the workers of the company from amongst themselves; and
b) two persons nominated by the management of the company of whom at least one shall be a person from the accounts department of the company

Answer to the Question # 7 (a) (ii) (c)

As per section 234(1)(b) of the Bangladesh Labour Act 2006, allocation to be made on following basis:

Amount to be allocated			5% of Tk. 50,00,000
Fund	Participatory Fund	Welfare Fund	Workers Welfare Foundation Fund
Proportion	80%	10%	10%
Amount (Tk.)	200,000	25,000	25,000

Answer to the Question # 7 (b)

Provident Fund of a private limited company is currently governed by the Bangladesh Labor Law, 2006 as amended in 2018 and Bangladesh Law Rules, 2015. As per the provision these regulations, the following should be addressed by the trustee Board:

1. **No. of member of the board and their terms:** Maximum no. of member of the board shall be limited to 7[rule 240] and their term shall not be more than 2 years [rule 241];
2. **Chairman and secretary:** The chairman and the secretary of the board shall be separate person [rule 244];
3. **Contribution to the fund:** Although as per the rule 250, the contribution shall be in between 7-8% of basic salary, but with the spirt of law as per section 3 of the Labor Act, 2006, the company may have its own service rule, but no such rule shall be less favorable to the employee. According to this since the company is also paying equally, deduction at higher rate shall not be prohibited by the law;
4. **Employment of staff for the fund and Fund expenses:** The board may employ any staff for smoother operation of the trust [rule 249] and all the expenses relating to the operation of the fund including Audit fees shall by borne by the company [rule 258];
5. **Advance from the fund:** Any member of the trust may take advance from the fund up to 80% of his entitlement [rule 266] for some specific purpose. Advance for the purpose of son's business capital is not permitted;
6. **Preparation of fund annual account:** The board shall complete the preparation of annual accounts of the fund within 31 March of the following year. Since, the it is not being completed till 31 May, the auditor may raise the flag.

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